

The FACTS Framework

If we can't trust advisors, on average, and we can't trust ourselves because of our innate bias, who can we trust? Not surprisingly, we suggest that investors stick to a systematic framework to assess investment opportunities. Our framework is called the FACTS, which is a mnemonic acronym we will explain shortly. And while there is no “one-size fits all” strategy assessment and allocation model, a systematic framework for decision-making can help simplify the process and maximize returns.

For every investment strategy that needs to be assessed, the FACTS framework (consisting of **F**ees, **A**ccess, **C**omplexity, **T**axes, and **S**earch) can be employed to clarify important considerations for the prospective investor. Our experience suggests that the vast majority of taxable family offices and high-net-worth individuals should focus on strategies with lower costs, higher accessibility and liquidity, easily understood investment processes, higher tax-efficiency, and limited due diligence requirements. For example, the FACTS would suggest, in general, that investors make use of more managed accounts and low-cost passively managed 1940 Act products (ETFs and mutual funds), and fewer private hedge funds and private equity vehicles. Using the FACTS framework can help assess cost/benefit trade-offs across strategy characteristics, which, in turn, improves portfolio results net of taxes, fees, and overall brain damage.

F: Fees

“I can't figure out why anyone invests in active management, so asking me about hedge funds is just an extreme version of the same question.”

—Eugene Fama, at the Investment Management Consultants Association 2013 Conference

Traditional “two and twenty” hedge fund compensation, referring to fees of 2 percent on assets and 20 percent of the gains, has been an industry standard for years. These days, 2/20 has been reduced to something more like 1/20, and with an ounce of negotiation, fees may drop to 1/10. To ascertain where fees have been and where they might be going, we highlight some tables from Ken French's work on the “Cost of Active Investing.”¹ [Table 5.2](#) shows the time series of expenses charged by mutual